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Transparency

Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

May 6, 2025

Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan, Hovhannes Khachatryan, Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Levon Sahakyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to address the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future policy rate path. Based on the CBA's latest surveys, financial market participants expect the policy rate to follow a gradual easing path over the next eight policy decisions.

In this context, on the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). Such developments imply the prolonged persistence of high inflation in goods and services with sticky prices in major economies, a broader inflationary environment—particularly in the United States—and the risk of interest rates remaining elevated over the long term. These types of scenarios are primarily related to the more expansionary fiscal stance in the United States and, in this context, the prospects of increased debt; uncertainties surrounding the U.S. long-term neutral interest rate; the tightening of external trade policies by leading economies and the expansion of the scope of the affected countries; global and regional geopolitical developments, the potential resolution of the Russia-Ukraine conflict and the resulting risks for Armenia, the formation of a more stimulative fiscal policy stance, an increase in Armenia's country risk premium, and other related risks.

On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to the target in the medium-term horizon (Case B-type scenarios). These types of scenarios include a gradual slowdown in economic growth in Armenia, a weakening demand and inflationary environment, further decline in global demand and the emergence of deflationary pressures in commodity markets, an undesirable softening of domestic labor market conditions, and uncertainty regarding the impact on aggregate demand amid adjustments in real estate prices.

In the context of a broader range of risks, the Board members presented their views on the main sources of risks and uncertainties that are crucial for making a prudent policy rate decision at this stage. In particular, they emphasized the importance of minimizing potential losses arising from these risks and uncertainties.

In discussing global economic developments, the Board conducted a detailed review of recent trends in U.S. economic policy, emphasizing the heightened uncertainty surrounding these policies as one of the most significant risk factors for Armenia's economy at the current stage. Board members agreed that concerns related to the tightening of external trade policies, previously raised, have somewhat materialized. These concerns include both inflationary pressures—arising from the ongoing escalation of tariffs among major economies, potentially disrupting global supply chains—and deflationary risks, driven by prolonged high uncertainty, which could dampen investment and consumption activity, potentially leading to a 'confidence crisis'. In this context, Narek Ghazaryan noted that signals of a significant slowdown in global economic growth are already becoming evident. Martin Galstyan, Armen Nurbekyan, Narek Ghazaryan, and Hasmik Ghahramanyan specifically emphasized the risks associated with the potential shift towards a more expansionary fiscal stance in the U.S. over the medium term, which could put upward pressure on long-term interest rates. In this regard, the increasing uncertainty surrounding the U.S. neutral interest rate was also highlighted.

Conversely, Levon Sahakyan noted that while global sentiment may change rapidly, the fundamental factors have remained largely unchanged. In his view, the risks associated with a potential crisis in the U.S. have already been priced in by the markets, and from this perspective, he does not foresee significant downside risks.

While discussing developments in commodity markets and the associated risks, the Board members agreed that currently these markets are not generating inflationary pressures. Hasmik Ghahramanyan underscored the importance of accounting for the rigidity of consumption preferences across different product categories. She noted that while price declines in raw material markets may emerge relatively quickly, the adjustment in food markets is likely to be more gradual, reflecting the slower response of demand in these segments. Armen Nurbekyan drew participants' attention to the fact that, historically, during various financial and economic shocks, the U.S. dollar has tended to appreciate against the currencies of both advanced and, in particular, emerging market economies—partially offsetting the income losses of commodity-exporting countries resulting from declining dollar-denominated prices (with exchange rate adjustments absorbing part of the external demand shock). However, he noted that the current situation is significantly different. Narek Ghazaryan specifically addressed the situation in the oil market, noting that although there are risks of further price declines from both the supply and demand sides, there are also certain factors that may limit this decline. In particular, he highlighted that current price levels are close to the break-even point, which is especially relevant for the United States—the world's leading oil producer. Hovhannes Khachatryan added that much of the current uncertainty in the global economy and financial markets stems from ongoing structural transformations within the global financial and economic system.

Overall, the Board concluded that the risks of weakening external demand—due to ongoing geopolitical and economic uncertainty—and the growing likelihood of imported deflationary pressures from commodity markets are becoming more material.

In discussing domestic economic developments, Armen Nurbekyan, Narek Ghazaryan, Levon Sahakyan and Davit Nahapetyan expressed the view that the economy is currently near an equilibrium position. Economic growth, after some moderation, has approached its estimated long-term balanced level; wage growth has stabilized around 5–6%; and indicators of underlying inflation are gradually converging toward the target. Narek Ghazaryan and Davit Nahapetyan also noted that the current monetary policy stance is likely close to neutral. In contrast, Armen Nurbekyan and Levon Sahakyan suggested that monetary conditions are still likely to be on the accommodative side. Hovhannes Khachatryan added that it is also important to consistently monitor the effectiveness of monetary policy transmission mechanisms.

Board members, reflecting on the recent slowdown in economic growth and, in particular, in activity, noted that this is largely driven by the gradual fading of certain short-term, non-structural growth factors. At the same time, the composition of economic activity and the high concentration in certain sectors present risks to sustainable medium-term growth. Levon Sahakyan and Armen Nurbekyan emphasized the importance of continued monitoring of the construction sector, highlighting the accumulated risks in the real estate market. Levon Sahakyan specifically noted that the decline in the number of transactions, along with other factors, signals the presence of certain risks. Narek Ghazaryan also emphasized that he sees medium-term risks stemming from the real estate market; however, he underlined that the inflationary effects arising from these risks are more likely to materialize over a longer-term horizon. In Armen Nurbekyan's view, special attention must also be given at this stage to the components of the economy's potential growth—particularly the manufacturing and IT sectors. This includes examining their nature and sustainability, as well as expanding medium-term capabilities, all within the context of addressing uncertainties related to potential growth. In this regard, Martin Galstyan highlighted the recent positive developments observed in the economy's supply side, which, from the perspective of medium-term potential, the economy's evolving structure, and overall economic activity, provide positive signals at present.

In discussing labor market developments, the Board members generally agreed that the notable slowdown in private sector wage growth, along with trends in labor supply and demand, likely indicates a gradual rebalancing of the labor market, in parallel with the adjustment of external demand conditions.

Board members also discussed developments in fiscal policy, particularly emphasizing the rising uncertainties in this area. The Board considered Case A-type risks to be more likely and were primarily concerned with those. Some Board members—notably Martin Galstyan, Hasmik Ghahramanyan, and Narek Ghazaryan—expressed the view that there are certain risks of tax underperformance and a potential overshoot in current expenditures. Armen Nurbekyan emphasized that in this context, he is particularly concerned about the potential increase in the country's fundamental risk premium, in the event of a higher-than-expected debt trajectory.

The Board members generally agreed that the current acceleration of headline inflation is largely driven by significant price increases in certain seasonal food items, while key indicators of core inflation, particularly the Non-Traded Sticky Price Index, continue to develop at levels close to the target. Some Board members were particularly concerned about the potential materialization of deflationary risks in the near future. Specifically, Davit Nahapetyan believed that the current inflationary

pressures are primarily supply-driven, while demand-side pressures remain weak. Narek Ghazaryan emphasized the potential for additional deflationary pressures from commodity markets if global demand continues to weaken, as well as the anticipated further deflation from the Chinese economy.

In summary, regarding Case A-type scenarios, the Board emphasized the uncertainties and risks associated with the potential formation of higher neutral interest rates in the U.S., the adjustment of Armenia's country risk premium or its fundamental increase, and the uncertainties related to the expansion of demand in the domestic economy, particularly credit-driven demand. As for Case B-type risks, the Board expressed concerns about the gradual slowdown in economic growth, the weakening demand environment in the economy amid a decline in real estate prices, and the outlook for the global economy. The Board also noted that uncertainties and risks transmitted from the external sector have increased, mainly due to elevated uncertainty surrounding U.S. economic policy. These developments present both inflationary and deflationary risks for Armenia.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

Martin Galstyan, Armen Nurbekyan, Hovhannes Khachatryan, and Hasmik Ghahramanyan, while acknowledging the higher likelihood of Case B-type scenarios materializing, also emphasized the importance of managing the significant macroeconomic implications stemming from Case A-type scenarios. Narek Ghazaryan, Davit Nahapetyan, and Levon Sahakyan preferred to balance both Case A-type and Case B-type risks and to proceed in alignment with market expectations. As a result, the Board of the Central Bank of Armenia decided to keep the refinancing rate unchanged (see Table 1). The Board affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
May 6, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Leave unchanged
Levon Sahakyan	Leave unchanged
Davit Nahapetyan	Leave unchanged
Hasmik Ghahramanyan	Leave unchanged
Hovhannes Khachatryan	Leave unchanged
Armen Nurbekyan	Leave unchanged
Martin Galstyan	Leave unchanged

B. Final Vote Submissions

May 6, 2025

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Taking into account the discussions with other members of the Board during the current policy cycle, recent economic developments, the analysis of underlying conditions, and a comprehensive evaluation of the principal sources of risks and uncertainties, I vote to maintain the policy rate at its current level. My decision is grounded in the imperative of prudently managing both Case B-type and Case A-type risks. Current economic dynamics render the realization of Case B-type scenarios more plausible. Within the context of Case B-type risks, Armenia's economic growth has stabilized around its estimated potential rate. However, due to the structural peculiarities of this growth, uncertainties remain regarding its sustainability, long-term trajectory, and the evolution of domestic demand. These concerns—together with the potential weakening of labor market conditions—imply risks associated with a persistently low-inflation environment. Risks of a further deterioration in global economic prospects, stemming from a potential reorientation of U.S. economic policy, are significant. In relation to Case A-type risks, my principal concern pertains to the medium-term outlook for U.S. fiscal and budgetary policy, including the possible expansion of public debt and the ongoing effects of a more protectionist trade stance—both of which are largely inflationary in nature. Under such circumstances, interest rates are expected to remain elevated for an extended period. Furthermore, uncertainties and risks related to the persistence of regional and geopolitical tensions, the direction and magnitude of the Armenian Government's fiscal and budgetary impact on domestic demand, as well as implications for the neutral interest rate, remain substantial. Accordingly, emphasizing the objective of minimizing potential losses arising from the aforementioned risks and uncertainties—acknowledging the higher probability of Case B-type scenarios while also underscoring the necessity of managing the considerable macroeconomic consequences of Case A-type scenarios—I vote in favor of keeping the policy rate unchanged. I reaffirm my readiness to respond promptly and appropriately to any new information or developments that may necessitate a reassessment of the risk balance, in order to uphold the Central Bank's commitment to 3% inflation and medium-term price stability.

Deputy Governor Armen Nurbekyan

Given the economic and financial developments in Armenia over the past few months, the discussions held with other Board members during the policy cycle, and a careful assessment of the principal sources of risk and uncertainty, I am voting to maintain the policy rate at its current level. Substantial uncertainty persists across both external and domestic sectors of the economy. In the United States, economic activity remains strong, and significant strides have been made in curbing inflation. However, uncertainty lingers regarding the long-term neutral interest rate and inflation to return to their targeted levels. The medium-term trajectory of U.S. fiscal deficits is exerting additional upward pressure on neutral interest rates. Furthermore, recent developments concerning tariff policies associated with the Trump administration introduce additional upside risks to the future path of U.S. Federal Reserve interest rates. These tariff-related uncertainties also have adverse implications for global demand, which are partially reflected in expectations for commodity prices. Global and regional geopolitical risks remain elevated, representing a Case A-type risk due to their potential influence on Armenia's risk premium and, consequently, on the neutral interest rate. In other major economies—particularly the European Union and China—risks of an economic slowdown persist. While some positive signals have emerged in the EU, the general outlook continues to reflect one of the principal Case B-type risks. Domestically, inflation has approached the target level, and economic activity is converging towards a sustainable potential level. There remains a degree of concentration in the services and construction sectors. At present, no major imbalances between demand and supply are evident. Credit growth remains elevated. Although economic activity continues at a high level, it is gradually decelerating toward its potential. Fiscal policy constitutes a key Case A-type risk, both in the short term—through its stimulative impact on demand—and in the longer term, via its potential effect on the risk premium associated with rising public debt. Concurrently, Case B-type factors within the domestic economy are primarily reflected in the progressive deceleration of growth, returning toward long-run potential. A slowdown in construction and mortgage market activity is also likely to materialize in 2025. In summary, structural global and domestic factors are predominantly associated with Case A-type risks, whereas cyclical developments correspond more closely with Case B-type risks. Given a GDP gap close to zero and the risk of a higher neutral interest rate, the decision to hold the policy rate steady reflects a considered judgment—one that acknowledges the somewhat higher likelihood

of Case B-type risks while also accounting for the potentially substantial economic costs of a monetary policy misstep should Case A-type risks materialize.

Board Member Hovhannes Khachatryan

Given the current economic developments and risks, I vote to leave policy interest rates unchanged. The main uncertainties related to A-type of risks are associated with the economic policy pursued by the United States, the expected fiscal stance, the sustainability of public debt, and the disruption of international trade due to tariffs. There is also significant uncertainty regarding the response of investors, policymakers in other countries, and economic agents to these developments. Another A-type of risk stems from the potential deterioration of risk premium arising from various geopolitical scenarios, including those affecting Armenia. On the other hand, the expected slowdown in economic growth in the EU and China—and in some scenarios, also in the US and energy-producing countries—could lead to weak external demand, which may restrain Armenia's economic activity. Weak domestic demand, as well as risks of downward price adjustments in the construction and real estate markets, also indicate the presence of B-type of risks. Overall, I assess that the GDP gap remains in negative territory. This is further supported by the weakening of labor market conditions in Armenia and the low growth of wages. Domestic demand also remains subdued. In summary, stagflationary risks are present in both the global and domestic economies. I assess the probability of the B-type of scenario as higher, although there is also a notable probability of A-type of scenarios with potentially greater impact. I confirm that in the event of any new information or developments requiring a reassessment of the risk balance, I am ready to respond in a timely and appropriate manner to ensure the 3% inflation target and the objective of price stability over the medium term.

Board Member Hasmik Ghahramanyan

At the May 6, 2025 meeting of the CBA Board, I voted in favor of keeping the policy interest rate unchanged. In making this decision, I based my judgment on the current state of the economy, the policies implemented in the previous period, my views on the economic outlook, and scenario developments influenced by various risks in both the external and domestic economies—with a commitment to bringing inflation closer to the 3% target. I assess that there will be no significant inflationary pressures transmitted to Armenia's economy from the external sector. Although there are substantial risks of demand weakening and inflation acceleration in several of Armenia's partner countries, on the other hand, a significant price decline is expected in commodity markets. The uncertainty surrounding the IMF's fiscal policy outlook has increased uncertainty regarding long-term interest rates; it is likely that they will remain at high levels. In this context, the world's leading central banks are expected to mostly maintain their current monetary policy conditions. I assess that domestic economic developments during this period, within the visible horizon for aggregate demand, are not significantly inflationary. Current trends in economic activity and labor market statistics suggest that inflationary pressures driven by domestic factors are unlikely to intensify. Fiscal policy could become a game-changing factor through its potential to stimulate demand. Given the above-described situation, I considered the necessity of reducing the policy rate by 0.25 percentage points. However, as there are still uncertainties regarding developments in components of the neutral interest rate—particularly in terms of risk premium—as well as risks related to expansionary fiscal policy, and since the expectations and actions of financial market participants (as reflected in the yield curve) are aligned with an unchanged rate, and the gaps in Armenia's fundamental economic indicators are currently at a minimal level, I voted to keep the policy interest rate unchanged in order to balance the risks.

Board Member Davit Nahapetyan

Taking into account the analysis presented by the macroeconomic team on economic and financial developments, as well as the in-depth discussions held with the Board members regarding the policy rate, I vote in favor of keeping the policy rate unchanged. Although some mild inflationary pressures on the Armenian economy persist due to supply-side factors from international commodity markets, I believe that deflationary trends—stemming from a decline in aggregate demand in the external sector—are currently prevailing. Despite certain downward movements this year, economic activity in Armenia remains elevated. At the same time, inflation is close to the targeted range. I do not observe any significant factors currently affecting aggregate demand. Moreover, I expect external demand for domestic services to continue declining, particularly in light of the recent downturn in the tourism sector. I also view a potential drop in demand in the real estate market as likely. In this context, I believe the Central Bank should position its policy stance within a more neutral zone between Case A-type and Case B-type risks, from a risk-balancing perspective. A careful evaluation of current economic developments and underlying conditions suggests that the probabilities of both Case A-type and Case B-type risks are presently balanced. The fact that inflation has remained close to target in recent months is a clear reflection of the Central Bank's prudent monetary policy, guided by risk management principles and anchored inflation expectations. In this light, I view the decision to maintain the policy rate as a rational and prudent step that effectively

balances both upside and downside risks. I reaffirm that the Central Bank Board will continue monitoring economic developments closely and will take appropriate action when necessary to safeguard the objective of price stability.

Board Member Levon Sahakyan

By discussing the developments in economic fundamentals, risks, and uncertainties during the policy cycle, as well as considering market expectations, I vote in favor of keeping the policy rate unchanged. In my assessment, current domestic economic conditions have moved toward closing the output gap, and urging by discussions around the neutral rate, I assume that with the existing policy rate, we are in a slightly accommodative stance. At the same time, the steady growth of retail trade and the high pace of lending point to a sufficient level of household demand, while the non-tradable price index remains within the target range. Thus, domestic economic developments are in line with the expectations of the implemented policy, which aims for a smooth convergence of economic growth toward potential GDP and the management of inflation within the target range. Labor market dynamics remain consistent with broader economic conditions, with no significant signs of either weakening or overheating. However, from the perspective of economic growth and domestic demand outlook, risks are primarily tilted to the downside. Similarly, I assess that imported inflation risks are also skewed downward, given the relatively slow pace of global economic growth this year. Among the identified Case B-type scenarios, I consider the potential adjustment in the real estate market particularly important, as it may carry notable adverse implications for macroeconomic stability. Nevertheless, the uncertainties surrounding the U.S. Federal Reserve's interest rate trajectory carry the greatest weight in my decision. It appears that relatively high interest rates will persist for longer than previously expected (Higher for longer). Currently, global financial markets remain highly sensitive to U.S. monetary policy decisions, driving increased volatility, which in turn affects risk-free interest rates, emerging market risk premiums, and interest rates in Armenia's domestic financial market. As a result, by balancing the risks arising from both Case A-type and Case B-type scenarios, I found it appropriate to vote in favor of keeping the rate unchanged.

Board Member Narek Ghazaryan

Considering the discussions with other Board members during the policy cycle, the analysis of current economic developments and fundamental conditions, as well as a comprehensive assessment of the main sources of risks and uncertainties, I vote in favor of keeping the policy rate unchanged. My decision is based on the firm conviction that, from the perspective of monetary policy, several key indicators have approached their respective stable or target levels. Additionally, I assess the potential inflationary Case A-type and deflationary Case B-type risks as balanced in terms of their impact on inflation. Specifically, the twelve-month inflation recorded in April of the current year stood at 3.2 percent, remaining close to the Central Bank's target. Economic growth at the beginning of the year is assessed to be near its potential level, suggesting the absence of significant inflationary or deflationary pressures from the demand side. Meanwhile, the current refinancing rate of 6.75 percent is, in my view, close to the neutral level. Regarding potential Case A-type risks in the future, it should be noted that the continued implementation of a restrictive trade policy by the U.S. government, along with a potentially stronger retaliatory response from targeted countries compared to the current situation, could lead to faster inflation in a range of goods involved in global trade over the medium term. Meanwhile, the ongoing negotiations related to the Russia-Ukraine conflict have heightened expectations for economic activity in Russia, contributing to the appreciation of the Russian ruble and an increase in the value of local assets. Should this situation persist, and if the lifting of sanctions against Russia continues to be delayed, there is a possibility of accelerated capital inflows into Armenia. This, in turn, may lead to a rapid increase in private spending, potentially creating inflationary pressures in the domestic market. In the event of heightened geopolitical tensions and worsening supply-side factors, commodity prices in international markets may accelerate. In addition to the external sector developments described above, there are also inflationary risks stemming exclusively from Armenia's domestic economy. Specifically, a potential increase in fiscal stimulus, as well as the continued high growth rate of lending to Armenian households and businesses, could accelerate the expansion of domestic demand, thereby generating additional inflationary pressures. I would also like to highlight several Case B-type risks present in the policy horizon. Specifically, in the U.S. economy, the potential continuation of the decline in overvalued asset prices, coupled with financial market shocks, could lead to a significant contraction in U.S. economic activity. At the same time, inflation in China remains at persistently low levels. In the EU and UK, economic activity continues to remain below its stable level, primarily due to prolonged challenges in the industrial sector, which could continue to weigh on economic growth over the medium term. If a significant portion of sanctions on Russia is lifted rapidly this could lead to a decline in capital inflows to Armenia observed in recent years which may substantially weaken economic activity and result in deflationary pressures driven by subdued domestic demand. Since the beginning of the year, declines in oil and certain food prices have also been observed. This trend could deepen and persist throughout 2025, generating deflationary pressures from the supply side. Among the existing Case B-type risks in the domestic economy it is notable that the slowdown in nominal wage growth persists reflecting mainly the weakening activity in Armenia's export-oriented sectors. It is also important to highlight that if the previously identified elevated activity in the real estate market moderates more rapidly than expected this could significantly weaken aggregate domestic demand and generate

deflationary pressures. Balancing the A- and B-type risks described, I am convinced that it is necessary to keep the refinancing rate unchanged at its current level of 6.75%, aiming to achieve inflation close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and express my readiness to respond with appropriate measures to any new information that may pose risks to achieving the 3% inflation target and ensuring price stability over the medium-term horizon.

